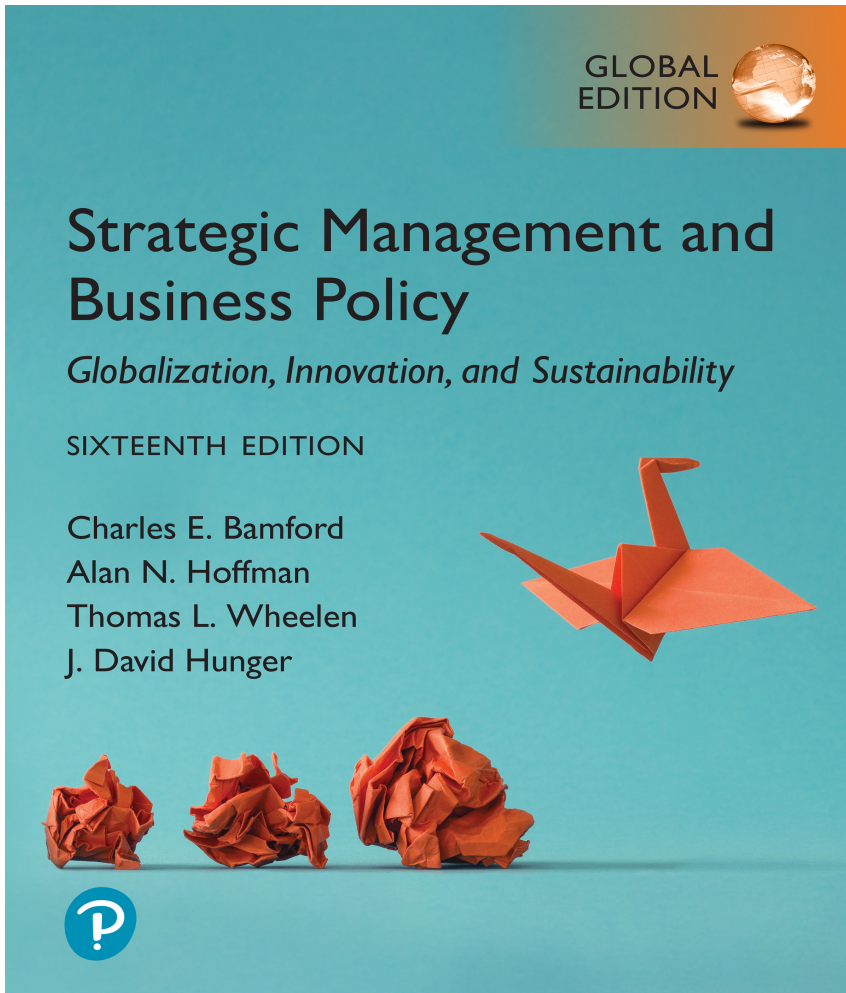


Strategic Management and Business Policy: Globalization, Innovation and Sustainability

Sixteenth Edition, Global Edition



Chapter 8

Strategy Formulation: Functional Strategy and Strategic Choice

Functional Strategy

- **Functional strategy**
 - the approach a functional area takes to achieve corporate and business unit objectives and strategies by maximizing resource productivity

Marketing Strategy (1 of 4)

- **Marketing strategy**
 - deals with pricing, selling, and distributing a product
- **Market development strategy**
 - a company or business unit can:
 - capture a larger share of an existing market for current products through market saturation and market penetration
 - develop new uses and/or markets for current products

Marketing Strategy (2 of 4)

- **Product development strategy**
 - a company or unit can:
 - develop new products for **existing markets**
 - develop new products for **new markets**

Marketing Strategy (3 of 4)

- **Brand extension**
 - using a successful brand name to market other products
- **Push strategy**
 - spending a large amount of money on trade promotion in order to gain or hold shelf space in retail outlets
- **Pull strategy**
 - advertising to “pull” products through the distribution channels

Marketing Strategy (4 of 4)

- **Skim pricing**
 - offers the opportunity to “skim the cream” from the top of the demand curve with a high price while the product is novel and competitors are few
- **Penetration pricing**
 - attempts to hasten market development and offers the pioneer the opportunity to use the experience curve to gain market share with low price and then dominate the industry
- **Dynamic pricing**
 - a practice in which prices vary frequently based upon demand, market segment, and product availability

Financial Strategy (1 of 2)

- **Financial strategy**
 - examines the financial implications of corporate and business-level strategic options and identifies the best financial course of action
 - usually attempts to maximize the financial value of the firm
 - the trade-off between achieving the desired debt-to-equity ratio and relying on internal long-term financing via cash flow is a key issue
 - the management of dividends and stock price is an important part of a corporation's financial strategy

Financial Strategy (2 of 2)

- **Leveraged buyout**
 - company is acquired in a transaction financed largely by debt usually obtained from a third party
- **Reverse stock split**
 - investor's shares are split in half for the same total amount of money

Research and Development Strategy (1 of 2)

- **Research and development (R&D) strategy**
 - deals with product and process innovation and improvement
 - also deals with the appropriate mix of different types of R&D and question of how new technology should be accessed

Research and Development Strategy (2 of 2)

- **Technological leader**
 - pioneering an innovation
- **Technological follower**
 - imitating the products of competitors
- **Open innovation**
 - firm uses alliances and connections with corporate, government, academic labs, and consumers to develop new products and processes

Operations Strategy

- **Operations strategy**

- determines how and where a product or service is to be manufactured, the level of vertical integration in the production process, the deployment of physical resources, and relationships with suppliers
- various manufacturing strategies can be employed depending on the product's popularity. These include;

Job shop

Connected line batch flow

Flexible manufacturing systems

Dedicated transfer lines

Modular manufacturing

Purchasing Strategy (1 of 2)

- **Purchasing strategy**
 - deals with obtaining raw materials, parts, and supplies needed to perform the operations function
 - multiple, sole, and parallel sourcing

Purchasing Strategy (2 of 2)

- **Multiple sourcing**
 - the purchasing company orders a particular part from several vendors
- **Sole sourcing**
 - relies on only one supplier for a particular part; simplifies production process by using just-in-time (JIT) delivery
- **Parallel sourcing**
 - two suppliers are the sole suppliers of two different parts, but they are also backup suppliers for each other's parts

Logistics Strategy

- **Logistics strategy**
 - deals with the flow of products into and out of the manufacturing process
- Trends include:
 - Centralization
 - Outsourcing
 - Internet

Human Resource Management (HRM) Strategy

- **HRM strategy**
 - addresses the issue of whether a company or business unit should hire a large number of low-skilled employees who receive low pay, perform repetitive jobs, and will most likely quit after a short time (the fast-food restaurant strategy) or hire skilled employees who receive relatively high pay and are cross-trained to participate in **self-managing work teams**

Information Technology Strategy

- **Follow-the-sun management**
 - project team members living in one country can pass their work to team members in another country in which the work day is just beginning

The Sourcing Decision: Location of Functions (1 of 2)

- **Outsourcing**
 - purchasing from someone else a product or service that had been previously provided internally
 - the reverse of vertical integration
- **Offshoring**
 - the outsourcing of an activity or a function to a wholly owned company or an independent provider in another country

The Sourcing Decision: Location of Functions (2 of 2)

Seven errors in outsourcing to avoid are:

1. Outsourcing activities that should not be outsourced
2. Selecting the wrong vendor
3. Writing a poor contract
4. Overlooking personnel issues
5. Losing control over the outsourced activity
6. Overlooking the hidden costs of outsourcing
7. Failing to plan an exit strategy

Strategies to Avoid

- Follow the leader
- Hit another home run
- Market-share race
- Do everything
- Losing hand

Constructing Corporate Scenarios

- **Corporate scenarios**
 - **pro forma** (estimated future) balance sheets and income statements that forecast the effect each alternative strategy and its various programs will likely have on division and corporate return on investment

Management's Attitude Toward Risk (1 of 2)

- **Risk**
 - composed not only of the **probability** that the strategy will be effective but also of the **amount** of assets the corporation must allocate to that strategy and the **length of time** the assets will be unavailable for other uses

Management's Attitude Toward Risk (2 of 2)

- **Real-options approach**
 - when the future is highly uncertain, it pays to have a broad range of options open
- **Net present value (NPV)**
 - calculates the value of a project by predicting its payouts, adjusting them for risk, and subtracting the amount invested

Pressures from Stakeholders (1 of 3)

- The attractiveness of a strategic alternative is affected by its perceived compatibility with the key stakeholders in a corporation's task environment.
- Stakeholders can be categorized in terms of their:
 1. interest in the corporation's activities and,
 2. relative power to influence the corporation's activities.

Pressures from Stakeholders (2 of 3)

Questions to assess stakeholder concerns

1. How will this decision affect each stakeholder?
2. How much of what stakeholders want are they likely to get under the alternative?
3. What are the stakeholders likely to do if they don't get what they want?
4. What is the probability that they will do it?

Pressures from Stakeholders (3 of 3)

- **Political strategy**
 - plan to bring stakeholders into agreement with a corporation's actions
 - constituency building, political action committee contributions, advocacy advertising, lobbying, and coalition building

Pressures from the Corporate Culture

If there is little fit, management must decide if it should:

- Take a chance on ignoring the culture.
- Manage around the culture and change the implementation plan.
- Try to change the culture to fit the strategy.
- Change the strategy to fit the culture.

Needs and Desires of Key Managers

- Even the most attractive alternative might not be selected if it is contrary to the needs and desires of important top managers. Personal characteristics and experience affect a person's assessment of an alternative's attractiveness
 - Personality and ego impact preferences
 - Industry and cultural background impact preferences
 - Often a strong tendency to maintain status quo

Process of Strategic Choice (1 of 3)

- **Strategic choice**
 - the evaluation of alternative strategies and selection of the best alternative
- Failure almost always stems from the actions of the decision maker, not from bad luck or situational limitations.

Process of Strategic Choice (2 of 3)

When an organization is facing a dynamic environment, the best strategic decisions are not arrived at through **consensus** when everyone agrees on one alternative. Two techniques help strategic managers avoid the consensus trap.

- **Devil's advocate**
 - assigned to identify potential pitfalls and problems with a proposed alternative strategy in a formal presentation
 - may be an individual or a group
- **Dialectical inquiry**
 - requires that two proposals using different assumptions be generated for each alternative strategy under consideration

Process of Strategic Choice (3 of 3)

Four criteria for evaluating alternatives:

1. Mutual exclusivity
2. Success
3. Completeness
4. Internal consistency

Using Policies to Guide Strategic Choices

When crafted correctly, an effective policy accomplishes three things:

1. It forces trade-offs between competing resource demands.
2. It tests the strategic soundness of a particular action.
3. It sets clear boundaries within which employees must operate while granting them the freedom to experiment within those constraints.

Q & A